KO 1 3.10.1 | Causes & Types of Change

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CAUSES OF AND PRESSURES FOR CHANGE

Internal - new leadership, growth, new strategy, poor performance, new technology adopted by the business.

External - competitors, changes in the economy, laws, technology and customer tastes.

TYPES OF CHANGE

Incremental change - gradual, small steps. Easier to manage and less resistance.

Disruptive change - sudden, major change that can transform a market, e.g. a new technology. Harder to plan for and can threaten survival.

Change can also be classed as internal or external depending on where it starts.

THE VALUE OF CHANGE

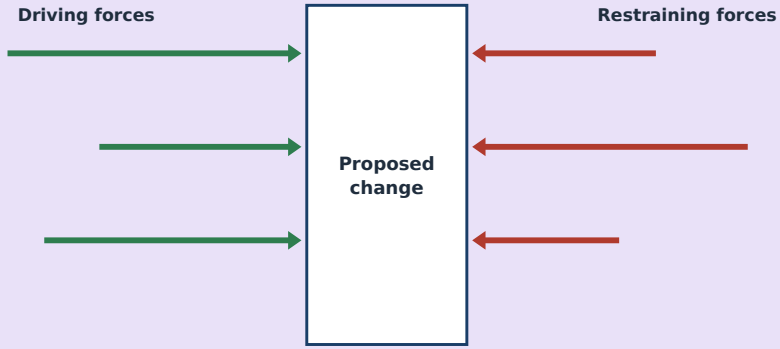
Keeps the business competitive and relevant.

Can cut costs, improve quality and open new markets.

But change costs money, takes time and can disrupt the business and upset staff.

LEWIN'S FORCE FIELD ANALYSIS

Change happens when driving forces are stronger than restraining forces.



EXAM TRAP

Force field analysis isn't just a list. Weight the forces and explain how managers can strengthen driving forces or weaken restraining ones.

ANALYSIS CHAIN

Disruptive new technology from a rival → customers start switching → strong driving force for change → business invests in new technology → but staff fear for jobs, a restraining force to manage.

TOP GRADE CONNECTION

Judge whether change should be incremental or rapid by how quickly the market is moving. Gradual change is easier to manage but may be too slow in a disrupted market.

KO 2 3.10.1 | Flexible Organisations & Knowledge

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RESTRUCTURING AND DELAYERING

Restructuring - changing the organisational structure, e.g. from functional to product-based, to fit a new strategy.

Delayering - removing levels of management. Lower costs, faster communication and more empowerment, but heavier workloads and loss of experience.

FLEXIBLE EMPLOYMENT CONTRACTS

E.g. part-time, temporary and zero-hours contracts, and flexible hours.

Let the business adjust its workforce to demand and cut costs, but staff may feel less secure and less committed.

ORGANIC V MECHANISTIC STRUCTURES

Mechanistic - rigid hierarchy, clear rules, narrow roles. Suits stable environments.

Organic - flexible, fewer rules, shared roles, communication across the business. Suits fast-changing environments and innovation.

MANAGING INFORMATION AND KNOWLEDGE

Collecting, sharing and using the information and know-how held by the business and its staff.

Helps the business respond to change, avoid repeating mistakes and keep knowledge when staff leave.

The value of a flexible organisation is that it can respond quickly to change.

EXAM TRAP

Delayering is not the same as redundancy in general. It removes whole management layers, which changes the structure and widens spans of control.

ANALYSIS CHAIN

Delayering → fewer management levels → faster communication and decisions → business responds more quickly to customers → but remaining managers may be overloaded.

TOP GRADE CONNECTION

Flexibility has costs as well as benefits. Judge whether the gain in speed and cost outweighs the loss of security and commitment among staff.

KO 3 3.10.1 | Resistance to Change

KOTTER AND SCHLESINGER - FOUR REASONS FOR RESISTANCE

Parochial self-interest - staff worry about what they will personally lose.

Misunderstanding and lack of trust - staff don't understand the change or don't trust managers.

Different assessments - staff believe the change will not work or is not needed.

Low tolerance for change - staff fear change and value stability.

SIX WAYS OF OVERCOMING RESISTANCE (1-3)

Education and communication - explain the reasons for change.

Participation and involvement - involve staff in planning the change.

Facilitation and support - training, counselling and time to adjust.

SIX WAYS OF OVERCOMING RESISTANCE (4-6)

Negotiation and agreement - offer something in return, e.g. pay or job guarantees.

Manipulation and co-optation - e.g. giving resisters a token role in the change.

Explicit and implicit coercion - forcing change, e.g. threatening job losses.

CHOOSING AN APPROACH

Depends on the reason for resistance, the time available, the power of those resisting and the risk if change fails.

Approaches near the start of the list take longer but build commitment; coercion is fast but can damage trust.

EXAM TRAP

Match the method to the reason for resistance. Education helps when the problem is misunderstanding; it does little when staff will genuinely lose out.

ANALYSIS CHAIN

Staff resist new shift patterns out of self-interest → negotiation offers higher pay for unsocial hours → agreement reached → change goes ahead with less disruption, but at a cost.

TOP GRADE CONNECTION

Strong answers diagnose the cause of resistance in the case before choosing a method, and weigh speed against long-term trust.

KO 4 3.10.2 | Organisational Culture

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WHAT CULTURE IS AND WHY IT MATTERS

The shared values, attitudes and beliefs that shape how people in the business behave - 'the way we do things around here'.

Affects motivation, decision making, customer service, how staff respond to change and the success of strategy.

HANDY'S FOUR CULTURES

Power - power held by one person or a small group at the centre. Fast decisions, but depends on the leader.

Role - bureaucratic, based on rules and job descriptions. Stable and predictable, but slow to change.

Task - teams formed to complete projects; expertise matters more than position. Flexible and creative, but hard to control.

Person - the organisation exists to serve the individuals in it, e.g. some partnerships of professionals.

INFLUENCES ON CULTURE

The founder and current leaders.

History and past successes.

Size and structure.

Recruitment and the type of staff.

The industry and its environment.

CHANGING CULTURE

Reasons - new strategy, poor performance, merger, change of leader, scandal.

Problems - culture is deep-rooted and changes slowly; staff resist; it is hard to measure; takes strong, consistent leadership.

EXAM TRAP

Culture is not the same as structure. Two businesses with the same structure can have very different cultures.

ANALYSIS CHAIN

Role culture with strict procedures → slow response to new competitors → shift towards task culture → faster, more creative decisions → but less control and consistency.

TOP GRADE CONNECTION

Culture often explains why a strategy fails. Judge whether the existing culture supports the strategy in the case, and how long changing it would take.

KO 5 3.10.3 | Implementing Strategy

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LEADERSHIP

Leaders set the direction, explain why the strategy matters, make resources available and set an example.

Without committed leadership, staff are unlikely to support a new strategy.

COMMUNICATION

Staff at every level need to understand the strategy and their part in it.

Two-way communication allows concerns to be raised and ideas to be shared.

Poor communication leads to confusion and resistance.

ORGANISATIONAL STRUCTURE

The structure must fit the strategy, e.g. international expansion may need a regional structure; innovation may need a flatter, more organic structure.

A structure that doesn't fit slows decisions and creates conflict.

IMPLEMENTING EFFECTIVELY

Clear objectives and plans with milestones.

Adequate resources - finance, staff, time.

Monitoring progress and adjusting where needed.

Network analysis can help plan and control complex projects.

EXAM TRAP

A good strategy can still fail if it is badly implemented. Don't assume that choosing the right strategy is enough.

ANALYSIS CHAIN

Strategy communicated clearly to all staff → people understand their role → decisions at every level support it → strategy implemented faster and more consistently.

TOP GRADE CONNECTION

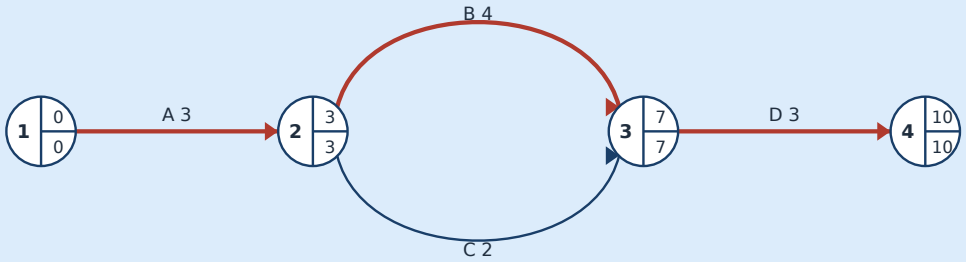
Judge the likely success of a strategy by the quality of leadership, communication and structure behind it, not only by how good the plan looks.

KO 6 3.10.3 | Network Analysis

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NETWORK DIAGRAM

A: 3 days. B (after A): 4 days. C (after A): 2 days. D (after B and C): 3 days.



Node: number | EST (top) | LFT (bottom). Critical path in red.

READING THE DIAGRAM

Circles (nodes) show the start and end of activities. Each node shows its number, the earliest start time (EST) and the latest finish time (LFT).

Arrows show activities and their duration.

EST - the earliest the next activity can start.

LFT - the latest the previous activity can finish without delaying the project.

CRITICAL PATH AND TOTAL FLOAT

Critical path - the activities with no float; any delay to them delays the whole project. Here A-B-D, 10 days.

Total float = LFT - duration - EST

Activity C: 7 - 2 - 3 = 2 days of float.

Amending a diagram: add or change activities, then recalculate ESTs and LFTs.

THE VALUE OF NETWORK ANALYSIS

Shows the minimum project time and which activities are critical.

Helps plan resources and spot where float allows flexibility.

But durations are estimates, it does not guarantee activities finish on time, and it needs updating as things change.

EXAM TRAP

Use the LFT at the end of the activity and the EST at the start. Many errors come from taking the times from the wrong node.

ANALYSIS CHAIN

Activity B delayed by 2 days → it is on the critical path → whole project finishes 2 days late → extra costs and possible penalties.

TOP GRADE CONNECTION

Network analysis is a planning tool, not a promise. Judge how reliable the duration estimates are and what would happen if a critical activity overran.

KO 7 3.10.4 | Why Strategies Fail

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DIFFICULTIES OF STRATEGIC DECISIONS

Decisions are long-term and made with incomplete information.

The environment can change unexpectedly.

Implementation depends on many people and resources.

Managers may be biased or overconfident.

PLANNED V EMERGENT STRATEGY

Planned - decided in advance by senior managers and then implemented.

Emergent - develops over time as the business responds to events and learns what works.

Most businesses combine the two.

STRATEGIC DRIFT

When a business's strategy gradually falls out of line with a changing environment, often because managers stick with what worked in the past.

Performance declines slowly until a crisis forces change.

EVALUATING STRATEGIC PERFORMANCE

Compare results with objectives, with past performance and with competitors.

Use financial and non-financial measures over the short and long term.

Ask whether poor results come from the strategy itself or from how it was implemented.

EXAM TRAP

Strategic drift is gradual, not a sudden failure. It happens when the business keeps doing what used to work while the market moves on.

ANALYSIS CHAIN

Retailer sticks with its store-based strategy → customers move online → sales decline slowly → strategic drift → crisis forces a costly change later.

TOP GRADE CONNECTION

When judging failure, separate the strategy from its implementation and from bad luck. A sensible strategy can fail because of an external shock no one could have predicted.

KO 8 3.10.4 | Strategic & Contingency Planning

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THE VALUE OF STRATEGIC PLANNING

Gives a clear direction and coordinates the business.

Forces managers to analyse the business's position and options.

Helps allocate resources and measure progress.

LIMITATIONS OF STRATEGIC PLANNING

Plans can become out of date quickly in a changing environment.

Can make the business rigid and slow to respond.

Takes time and money.

CONTINGENCY PLANNING

Planning in advance for events that might happen, e.g. the loss of a major supplier, an IT failure or a fire.

Means the business can respond quickly and limit damage, but costs time and money for events that may never happen.

CRISIS MANAGEMENT

Responding to an unexpected event that threatens the business, e.g. a product recall or a scandal.

Needs fast decisions, clear leadership and honest communication with stakeholders.

Good crisis management can protect reputation; poor handling can make the damage far worse.

EXAM TRAP

Contingency planning happens before an event; crisis management happens during it. Don't use the terms as if they mean the same thing.

ANALYSIS CHAIN

Contingency plan for a supplier failure in place → second supplier already approved → production continues when the main supplier fails → sales and reputation protected.

TOP GRADE CONNECTION

The value of planning depends on how predictable the environment is. In a fast-changing market, flexibility and good contingency plans may matter more than a detailed long-term plan.